# Hinduja National Power Corporation Limited

January 05, 2024

| Facilities/Instruments | Amount (₹ crore) | Rating[1] | Rating Action |
|---|---|---|---|
| Long-term bank facilities | 7,125.95 (Reduced from 8,024.95) | CARE A-; Stable | Reaffirmed |
| Long-term bank facilities | - | - | Withdrawn |

Details of instruments/facilities in Annexure-1.

## Rationale and key rating drivers

The reaffirmation of rating assigned to the long-term bank facilities of Hinduja National Power Corporation Limited (HNPCL) continues to derive strength from the financial flexibility of Machen Holdings SA (MHSA, the ultimate holding entity of HNPCL and the support provider) evidenced as satisfactory cover i.e. 4.30x in the form of market value of investments indirectly held in various listed companies vis-à-vis the combined debt. Apart from this, the rating also takes cognisance of HNPCL being part of its financially resourceful Hinduja group, which has reputed stature and well-established management track record. The rating continues to favourably factor in the promoter support in the form of undertaking towards meeting financial obligations as well as demonstrated support in the form of regular infusion of loans/ deposits to assist its operations and debt repayment.

Furthermore, the rating continues to derive comfort from HNPCL's low sales risk and long-term revenue visibility due to its power purchase agreement (PPA) for entire capacity at a tariff determined by the Andhra Pradesh Electricity Regulatory Commission (APERC) which ensures fixed return, HNPCL's long-term fuel supply agreement (FSA) and improvement in plant load factor (PLF) during FY23 (refers to the period from April 01 to March 31) and H1FY24 (refers to April 01 to September 30). The improvement in liquidity profile of the company characterized by sizable collection from its off-taker during FY23 and H1FY24, enhancement in working capital limit and creation of debt service reserve account (DSRA) equivalent of one quarter of debt servicing adds strength to the rating.

The rating strengths are, however, tempered by the partial recovery of the claimed capital cost leading to lower-than-previously envisaged annual capacity charge (AFC). HNPCL's review petition for reconsidering its tariff had been dismissed by APERC in June 2023. The credit profile of the off-takers is weak and HNPCL has elongated receivables period. The rating is also sensitive to HNPCL's impending capital expenditure for meeting environmental guidelines. CARE Ratings Limited (CARE Ratings) expects that the group will continue to provide need-based financial support to HNPCL till stabilisation of its operations and improvement in the financial profile. Moreover, CARE Ratings would also continue to monitor the adherence to the stipulations by HNPCL under one-time restructuring (OTR) scheme implemented on June 25, 2021.

CARE Ratings has withdrawn the outstanding rating on the long-term bank facilities in respect to Funded Interest Term Loan – 2 (FITL -2) with immediate effect, as the company has entirely repaid the rated amount and there is no outstanding as on date.

## Rating sensitivities: Factors likely to lead to rating actions

**Positive factors**

- Higher-than-envisaged liquidation of regulatory assets translating into improvement in the financial risk profile.
- Improvement in the credit profile of counterparties leading to traction in collection period to less than 90 days.

**Negative factors**

- Significant deterioration in the credit profile of the promoter or dilution in its support philosophy towards HNPCL.
- Substantial decline in the market value of investments to debt coverage of the holdcos/sub-holdcos below 3.5x on a sustained basis.
- Unfavourable regulatory outcome adversely impacting the cash accruals of the company.

**Analytical approach:** Standalone, while factoring linkages with MHSA, the ultimate holding company of the group owning 91.33% interest in HNPCL through various sub hold-cos including Hinduja Energy (India) Limited.

**Outlook:** Stable

Operational risk is likely to remain moderate due to regulatory uncertainty leading to partial recovery of claimed capital cost, offset by existence of long term PPA and FSA. This is expected to limit the improvement in its financial risk profile in the medium term. However, HNPCL is likely to benefit from the operational and financial linkages being part of the Hinduja group.

[1]Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

## Detailed description of the key rating drivers

### Key strengths

**Long-term power off-take arrangement for a period of 25 years acknowledged by APERC**

By virtue of its PPA (valid for 25 years from the COD of Unit-II (i.e., April 30, 2016) as approved by APERC), HNPCL has long-term revenue visibility for its entire capacity of 1,040 MW. The cost-plus nature of determination of tariff ensures recovery of cost at normative parameters along with earning of fixed return. Actual fuel cost shall be pass-through for determination of energy charges as per APERC regulations. AFC (as determined by APERC) is recoverable fully upon achievement of normative plant availability factor (NAPAF) of 85%.

**FSA with Mahanadi Coalfields Limited (MCL)**

HNPCL has fuel supply agreement with MCL with annual contracted quantity (ACQ) of 4.624 million tonne per annum (MTPA). While the plant is in proximity to two well-developed ports (Gangavaram Port and Vizag Port), it has plans to set up railway siding. Estimated capex to be incurred is ₹166 crore. CARE Ratings expects the same to be funded in a debt-equity ratio of 70-30. Commissioning of the same will reduce the landed cost of coal and improve the plant's competitiveness.

**Improvement in operational performance**

The beneficiaries had stopped scheduling power from HNPCL's plant since August 2020, and the same resumed only post the Hon'ble Supreme Court's judgement in February 2022. PLF has improved to 53% in FY23 (PY: 3%) and 64% during H1FY24. Plant availability factor (PAF) continued to remain above normative during these periods ensuring full recovery of capacity charge. However, the company's station heat rate and auxiliary consumption has been inferior to the normative level set by APERC. HNPCL has raised invoices for part loading compensation, which will offset the losses due to part loading.

**Part of a reputed and resourceful promoter group with proven financial support in the past**

HNPCL belongs to the Hinduja Group, which is one of the largest diversified groups in the world with direct presence in 38 countries and activities spanning across 100 countries. The group has presence across various sectors, viz., automotive, banking and finance, energy & chemicals, power, healthcare, information technology, real estate and media and entertainment amongst others. MHSA is the ultimate holding company of HNPCL. MHSA has majority stake in Hinduja Automotive Limited – United Kingdom (HAL-UK, the holding company of Ashok Leyland Limited [ALL, rated 'CARE AA; Stable/ CARE A1+']). ALL, the flagship company of Hinduja group, is a prominent manufacturer of commercial vehicles in India. Furthermore, MHSA also has majority stake in Hinduja Capital Limited – Mauritius (HCL-M, the holding company of GOCL Corporation Limited (GOCL)). GOCL's multi-division businesses include energetics, commercial explosives and realty. The management has articulated that there is adequate financial flexibility of MHSA due to fungibility of cashflows between MHSA and its subsidiaries, i.e., HAL-UK, HCL-M and the Hinduja Energy holdcos. The market value of the investments in listed instruments of these sub-holdcos vis-à-vis their external debt outstanding as on December 01, 2023 is 4.30x, which is moderate. CARE Ratings has observed moderation in the market value of these holdings vis a vis the total debt in the energy hold-cos/sub-hold-cos since last review, albeit slightly better than threshold level. CARE Ratings expects that the group will continue to provide need based financial support to HNPCL given the existing headroom available in leveraging these holdcos.

**Promoter supporter towards meeting HNPCL's financial obligations**

MHSA and Hinduja Energy (India) Limited (HEIL), both as promoters of HNPCL have extended Promoter Support Undertaking to the lenders for the primary project loan and working capital facilities towards timely debt servicing. Major covenants of the agreement are as under:

- **Debt service requirement**: The promoters have undertaken that, until the determination of the regular tariff, the promoters shall, from time to time, provide additional funds to the borrower in the event there is any shortfall in the cash flows of the borrower so that the borrower is able to meet the debt service requirements, without any delay.
- **Repayment of excess loan amounts**: The promoters shall provide additional funds to the borrower in the amount equivalent to the excess loan amount upon determination of the target loan amount without any recourse to the borrower, project assets and/or lenders to enable the borrower to prepay the loans to the lenders to the extent of the excess loan amount without any delay.
- **Initial DSRA:** The promoters have confirmed that in the event there is any shortfall in the cash flows of the borrower to build up the initial debt service reserve as required in terms of the financing documents, the promoters shall provide additional funds to meet such shortfall.

The promoter's support undertaking continues till the final settlement of dues from the project lenders. The promoters of the company have been regularly infusing funds in HNPCL by way of inter corporate deposit (ICD)/loan.

Going forward, timely extension of support from promoter group will continue to be a key rating monitorable.

## Key weaknesses

**Approved capital cost is lower than prayed; tightening of few other normative parameters**

The significant difference (around ₹ 2,000 crore) in capital cost prayed by HNPCL and the actual cost allowed by APERC vide its August'22 order has material bearing on project viability. The interim tariff for previous period were considered as final. Moreover, APERC has also allowed stricter station heat rate, auxiliary consumption, specific fuel oil consumption which may lead to under-recovery in energy charge. The same is expected to offset to some extent with the part-load compensation permitted under the PPA. HNPCL had filed review petition with APERC with justification for relaxation which was dismissed in June 2023. Thereafter, HNCPL filed an appeal in Appellate Tribunal for Electricity (APTEL) to review the tariff order received from APERC. In case there is delay in relaxation in various norms and HNPCL continue to bill the off-taker basis existing tariff, a large cash gap may arise during FY24 and FY25. Hence timely resolution of the issue favourably, along with realisation of receivables is to be seen.

**Leveraged capital structure**

HNPCL's term debt has been increasing year on year on account of moratoriums availed by the company in line with the RBI guidelines and stood at ₹ 9,410 crore (including ₹ 2263 crore advances from group companies) as on March 31, 2023 (PY: ₹ 8,696 crore including ₹ 1985 crore advances from group companies). Total debt/PBILDT (excluding regulatory income) remained elevated at 8.34x in FY23 (PY: 6.32x). Despite weaker cash accruals, the plant did not require financial support from the parent for several months, as cited by the management. However, full recognition of capital cost and full pass-through of variable cost will be critical for the plant's operation going forward, and thus remain a rating monitorable.

**High counterparty credit risk yet, collection efficiency has improved**

The credit profile of AP discoms is weak characterised by high leverage and stretched payable and collection period. Average collection period has however decreased from 474 days in FY22 to 290 days in FY23. The monthly collections from off-takers have picked up post the commencement of scheduling of power by the off-takers and the collection efficiency stood at 90% during FY23 and 100% in Q1FY24.

**Liquidity**: Adequate

The liquidity profile of the company has been supported by timely infusion of funds from the promoters and access to fund-based working capital limits. The lead working capital lender has appraised enhancement of working capital limit by ₹ 650 cr to ₹ 1940 crore and has already disbursed its share of ₹ 230 cr to the company during Oct'23. The company has created DSRA equivalent to one quarter of debt servicing during Q1FY24 (refers to the period from April 01 to June 30). The average utilization of the fund based working capital limit during FY23 was 77%. The company had a cash and bank balance of ~₹ 320 crore as on June 30, 2023.

## Applicable criteria

**Definition of Default**
**Factoring Linkages Parent Sub JV Group**
**Rating Outlook and Rating Watch**
**Infrastructure Sector Ratings**
**Thermal Power**
**Financial Ratios – Non financial Sector**
**Liquidity Analysis of Non-financial sector entities**
**Withdrawal Policy**

## About the company and industry

## Industry classification

| Macro economic Indicator | Sector | Industry | Basic Industry |
|---|---|---|---|
| Utilities | Power | Power | Power Generation |

HNPCL is part of Hinduja Group. The company operates coal-based sub-critical thermal power project of 1,040 MW (2 x 520) in Village Palavalasa, Dist. Vishakhapatnam, Andhra Pradesh. The company is promoted by HEIL (holds 51.05 % stake), Hinduja Energy (Mauritius) Limited (holds 40.27% stake), Machen Development Corporation (holds 4.84% stake) and balance is held by Steag Energy Services GmbH.

| Brief Financials (₹ crore)* | FY22 (A) | FY23 (A) |
|---|---|---|
| Total operating income | 811 | 2,391 |
| PBILDT | 621 | 1,051 |
| PAT | 291 | -325 |
| Overall gearing (times) | 2.66 | 3.20 |
| Interest coverage (times) | 0.77 | 1.15 |

A: Audited UA: Unaudited; NA: Not available; Note: 'the above results are latest financial results available'; *analytically adjusted as per CARE Ratings' methodology

**Status of non-cooperation with previous CRA:** Not applicable

**Any other information:** Not applicable

**Rating history for last three years:** Please refer Annexure-2

**Covenants of rated instrument / facility:** Detailed explanation of covenants of the rated instruments/facilities is given in Annexure-3

**Complexity level of various instruments rated**: Annexure-4

**Lender details**: Annexure-5

## Annexure-1: Details of instruments/facilities

| Name of the Instrument | ISIN | Date of Issuance | Coupon Rate (%) | Maturity Date | Size of the Issue (₹ crore) | Rating Assigned along with Rating Outlook |
|---|---|---|---|---|---|---|
| Fund-based - LT-Cash Credit | | - | - | - | 1290.00 | CARE A-; Stable |
| Fund-based - LT-Term Loan | | - | - | March 2039 | 244.94 | CARE A-; Stable |
| Fund-based - LT-Term Loan | | - | - | March 2039 | 4439.95 | CARE A-; Stable |
| Fund-based - LT-Term Loan | | - | - | March 2025 | 900.00 | CARE A-; Stable |
| Fund-based - LT-Term Loan | | - | - | September 2023 | 0.00 | Withdrawn |
| Fund-based - LT-Term Loan | | - | - | February 2023 | 0.00 | Withdrawn |
| Non-fund-based - LT-Bank Guarantee | | - | - | - | 251.06 | CARE A-; Stable |

## Annexure-2: Rating history for the last three years

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings | | | Rating History | | | |
|---|---|---|---|---|---|---|---|---|
| | | Type* | Amount Outstanding (₹ crore) | Rating | Date(s) and Rating(s) assigned in 2023-2024 | Date(s) and Rating(s) assigned in 2022-2023 | Date(s) and Rating(s) assigned in 2021-2022 | Date(s) and Rating(s) assigned in 2020-2021 |
| 1 | Fund-based - LT-Cash Credit | LT | 1290.00 | CARE A-; Stable | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | 1)CARE A- (CW with Negative Implications) (07-Oct-21) | 1)CARE A- (CW with Negative Implications) (30-Mar-21)<br><br>2)CARE A- (CW with Negative Implications) (22-Oct-20) |

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings | | | Rating History | | | |
|---|---|---|---|---|---|---|---|---|
| | | Type* | Amount Outstanding (₹ crore) | Rating | Date(s) and Rating(s) assigned in 2023-2024 | Date(s) and Rating(s) assigned in 2022-2023 | Date(s) and Rating(s) assigned in 2021-2022 | Date(s) and Rating(s) assigned in 2020-2021 |
| 2 | Fund-based - LT-Term Loan | LT | 244.94 | CARE A-; Stable | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | 1)CARE A- (CW with Negative Implications) (07-Oct-21) | 1)CARE A- (CW with Negative Implications) (30-Mar-21)<br><br>2)CARE A- (CW with Negative Implications) (22-Oct-20) |
| 3 | Fund-based - LT-Term Loan | LT | 4439.95 | CARE A-; Stable | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | 1)CARE A- (CW with Negative Implications) (07-Oct-21) | 1)CARE A- (CW with Negative Implications) (30-Mar-21)<br><br>2)CARE A- (CW with Negative Implications) (22-Oct-20) |
| 4 | Fund-based - LT-Term Loan | LT | 900.00 | CARE A-; Stable | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | 1)CARE A- (CW with Negative Implications) (07-Oct-21) | 1)CARE A- (CW with Negative Implications) (30-Mar-21)<br><br>2)CARE A- (CW with Negative Implications) (22-Oct-20) |
| 5 | Non-fund-based - LT-Bank Guarantee | LT | 251.06 | CARE A-; Stable | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | 1)CARE A- (CW with Negative Implications) (07-Oct-21) | 1)CARE A- (CW with Negative Implications) (30-Mar-21)<br><br>2)CARE A- (CW with Negative Implications) (22-Oct-20) |
| 6 | Fund-based - LT-Term Loan | LT | - | - | - | 1)CARE A-; Stable (06-Jan-23) | - | - |

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings | | | Rating History | | | |
|---|---|---|---|---|---|---|---|---|
| | | Type* | Amount Outstanding (₹ crore) | Rating | Date(s) and Rating(s) assigned in 2023-2024 | Date(s) and Rating(s) assigned in 2022-2023 | Date(s) and Rating(s) assigned in 2021-2022 | Date(s) and Rating(s) assigned in 2020-2021 |
| | | | | | | 2)CARE A- (RWN) (27-Dec-22) | | |
| 7 | Fund-based - LT-Term Loan | LT | - | - | - | 1)CARE A-; Stable (06-Jan-23)<br><br>2)CARE A- (RWN) (27-Dec-22) | - | - |

*Long term/Short term.

**Annexure-3: Detailed explanation of covenants of the rated instruments/facilities:** Not applicable

**Annexure-4: Complexity level of the various instruments rated**

| Sr. No. | Name of the Instrument | Complexity Level |
|---|---|---|
| 1 | Fund-based - LT-Cash Credit | Simple |
| 2 | Fund-based - LT-Term Loan | Simple |
| 3 | Non-fund-based - LT-Bank Guarantee | Simple |

**Annexure-5: Lender details**

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|---|
| To view the lender wise details of bank facilities please [click here] |

**Note on the complexity levels of the rated instruments:** CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

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**About us:**
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